

sions to industry in 2007-08—a point raised by the Left parties. Their contention: the Government must phase out these exemptions before targeting the common man. If it so desired, the Centre could have worked with the state governments and cut taxes to reduce the burden. Second, it could have worked aggressively towards improving its tax collection. But it has chosen to take the easy way out. Boggled down with his huge commitments on flagship social development programmes like the Rs 71,000 crore farm loan waiver, Chidambaram obviously has refused to take a 1.5 per cent increase in fiscal deficit by sacrificing petro taxes.

The finance minister thus chose to wield the stick on the common man and his ministry has effected an across-the-board duty cut of only 5 per cent on crude and its products. While the customs duty on crude has been totally

Rs 94,800 crore was the Government's revenue from fuel in 2007-08

Rs 3,37,060 crore is the revenue foregone by the Government due to concessions to industry

8.2% is the share of oil customs revenue in total corporate revenue in 2008. It was 10.7% in 2006

21.2% is the share of oil excise revenue in total corporate and personal tax revenue in '08, 29.6% in '07

the oil situation.”

The West Bengal Government has, in keeping with the Left sentiments, decided to cut sales tax on petrol from 25 per cent to 20 per cent and from 17 per cent to 12.5 per cent on diesel. However, there is no such decision coming from the Congress-led coalition in Maharashtra, which charges the highest sales tax on fuel. Given that petrol contributes to 20 per cent of the total taxes of the state, the Government is reluctant to part with this revenue stream. State finance minister Jayant Patil says: “We understand that the price rise is affecting the common man and are still deciding how best we can reduce the burden on people.” The Government couldn't have given a bet-

BHASKAR PAUL



WRONG MATH: Manmohan and Deora on sticky wicket

ter weapon to BJP. Pronouncing it as a disastrous prescription for the economy, the party says: “The Government which has run out of ideas has now unleashed this economic terror on the nation. This decision is the last straw for the UPA Government. They have belied the very interests which they have been championing.”

India should take a leaf out of US's book. They anyway had a low 24 per cent tax on fuel, and since 2007, when oil boiled over and crossed \$100 per barrel, tax has been lowered from 24 per cent to 15 per cent, such that oil spikes don't derail the economy. With some of the best minds in the business holding key economic portfolios, the UPA would do well to learn where there is a will there is a way, because sound economics makes good politics too.

with Shafi Rahman and Nivedita Mukherjee

PERY SLOPE

er even as it continues to profit from rising crude prices

removed from 5 per cent, on petrol and diesel it has been cut from 7.5 per cent to 2.5 per cent, and on other petroleum products, which include aviation turbine fuel, from 10 per cent to 5 per cent. PSU oil companies will gain around Rs 21,000 crore from the duty cuts while the finance ministry will take a hit of Rs 22,660 crore. But the worst hit will be consumers as inflation will cross double digit figures after this fiasco. Given that fuel, power, light and lubricants have a 14.23 per cent weightage in WPI and fuel oils have a 6.98 per cent weightage, an estimated increase of 10 per cent in the retail price of four sensitive products is likely to have an impact of 1.71 per cent on the index. Within hours of the Government announcing a hike in fuel prices, truckers raised freight charges by nearly 15 per cent, a move which will have a cascading effect on the prices of essential commodities.

UPA's alliance partners, too, are not convinced by the rationale. According to

a press release by CPI(M), the Government has projected that the price hike would lead to additional earnings of Rs 21,123 crore for PSU oil marketing companies. But, this amount can be easily mobilised by utilising the Rs 7,500 crore per annum cess collected from Oil and Natural Gas Corporation and Oil India under the Oil Industry Development Act, 1974, which is not being used for the development of the petroleum sector. The other option is to cut excise duties on petrol and diesel by Rs 3 per litre instead of Re 1 per litre, as has been done now. Says K.V. Kamath, president of Confederation of Indian Industry (CII) and CEO of ICICI Bank: “The Government had a very difficult task at hand. A situation of global slowdown, moderating growth in some sectors of the economy, stress on the fiscal deficit and high inflation in the domestic economy presented it with a tough balancing act. We hope that the growth momentum would not be impacted too hard by